MIS
American International University-Bangladesh

AIUB FBA FACULTY OF BUSINESS ADMINISTRATION

MANAGEMENT INFORMATION SYSTEMS

Managing the Digital Firm

Laudon and Laudon, 17th Edition

Chapter 3

Achieving Competitive Advantage with Information System

ziarat@aiub.edu

Business wisdom

Customers Don’t care about technology.

They will care, If business solve their problems and satisfy their need.

Click to edit Master title style

Demonstrate how Porter's competitive forces model helps companies develop competitive strategies using digital information systems.



FIGURE 12.5 Porter's competitive forces model.

WHY Porter's Five Forces Model ?

Porter's Five Forces is a framework for analyzing a company's competitive environment. The number and power of a company's

- ❑competitive rivals,
- ❑potential new market entrants,
- ❑suppliers,
- ❑customers,
- ❑and substitute products

influence a company's **profitability.**



Porter's five forces with explanation

(Please remember this, because I won't provide them with the question)

- Profitable industries that yield high returns will attract new firms. New entrants eventually will decrease profitability for other firms in the industry.
- A substitute product uses a different technology to try to solve the same economic need.
- The bargaining power of customers is also described as the market of outputs: the ability of customers to put the firm under pressure, which also affects the customer's sensitivity to price changes.
- The bargaining power of suppliers is also described as the market of inputs. Suppliers of raw materials, components, labor, and services (such as expertise) to the firm can be a source of power over the firm when there are few substitutes.
- For most industries the intensity of competitive rivalry is the major determinant of the competitiveness of the industry.

AIUB FBA FACULTY OF BUSINESS ADMINISTRATION

1. **Threat of entry of new competitors:** Industries that have large profit margins attract entrants into the market to a greater degree than industries with small margins. The same principle applies to jobs—people are attracted to higher-paying jobs, provided that they can meet the criteria or acquire the skills for that job. In order to gain market share, entrants usually need to sell at lower prices as an incentive. Their tactics can force companies already in the industry to defend their market share by lowering prices—reducing profit margin. Thus, this threat puts downward pressure on profit margins by driving down prices. This force also refers to the strength of the **barriers to entry** into an industry, which is how easy it is to enter an industry. The threat of entry is lower (less powerful) when existing companies have ITs that are difficult to duplicate or very expensive. Those ITs create barriers to entry that reduce the threat of entry.

2. **Bargaining power of suppliers:** Bargaining power is high where the supplier or brand is powerful, such as Apple, Microsoft, and auto manufacturers. Power is determined by how much a company purchases from a supplier. The more powerful company has the leverage to demand better prices or terms, which increase its profit margin. Conversely, suppliers with very little bargaining power tend to have small profit margins.

3. **Bargaining power of customers or buyers :**This force is the reverse of the bargaining power of suppliers. Examples are Walmart and government agencies. This force is high when there are few large customers or buyers in a market.

4. **Threat of substituting products or services:** Where there is product-for-product substitution, such as Kindle for Nook, there is downward pressure on prices. As the threat of substitutes increases, the profit margin decreases because sellers need to keep prices competitively low.

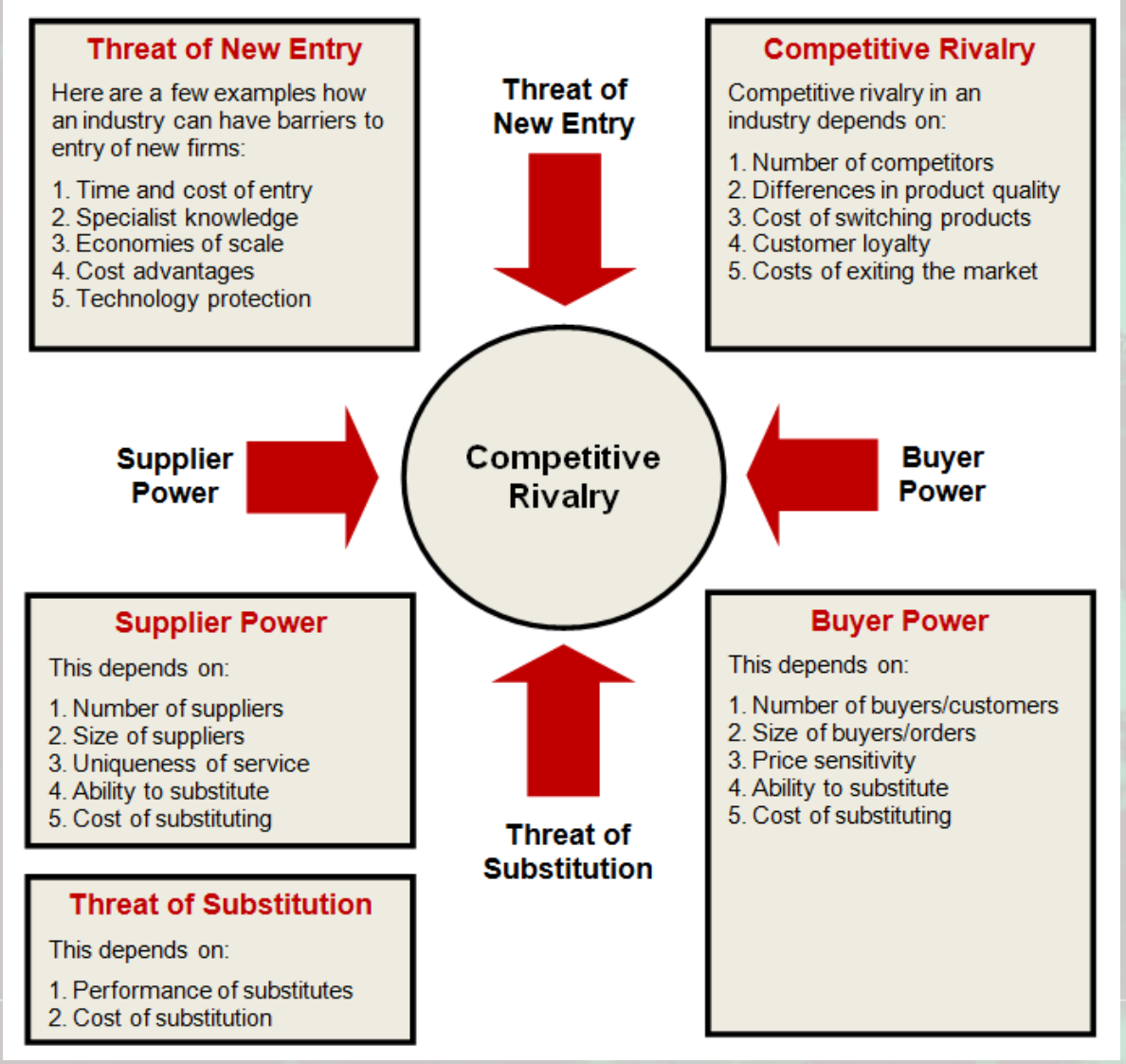
5. **Competitive rivalry among existing firms in the industry:** Fierce competition involves expensive advertising and promotions, intense investments in R&D, or other efforts that cut into profit margins. This force is most likely to be high when entry barriers are low, the threat of substitute products is high, and suppliers and buyers in the market attempt to control it. That is why this force is placed in the center of the model.

Click to edit Master title style

Why do some firms become leaders within their industry?

How to Analyze Any Industry

BARGAINING POWER



Threat of New Entrants

Example

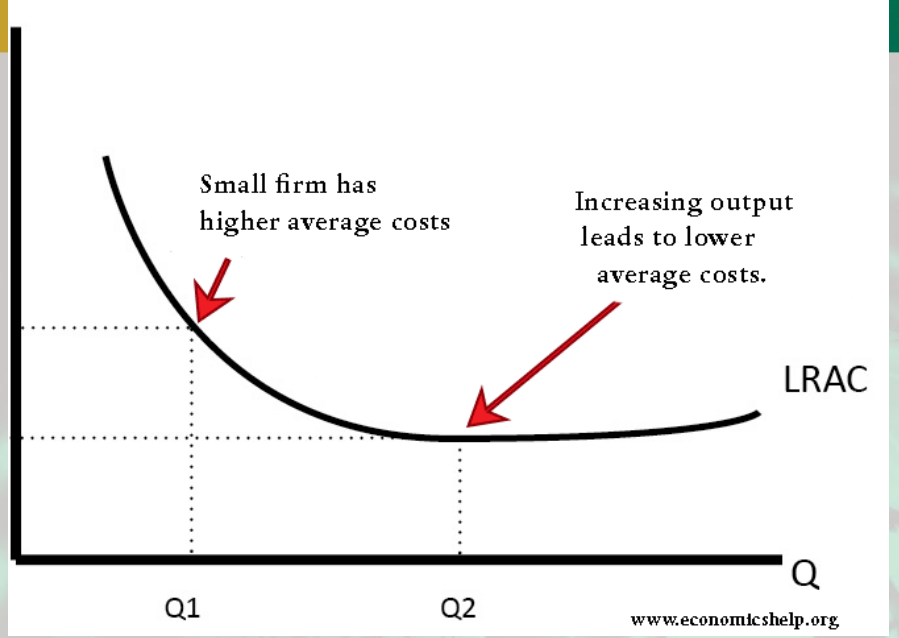
What is an industry that has a high entry barrier?

- Energy – the organization has to have the infrastructure to support energy
- Telecommunications – the organization has to invest in a telecommunications infrastructure prior to offering services
- Banking – the bank must offer its customers an array of IT-enabled services including ATMs and online account services

What is an industry that has a low entry barrier?

- Restaurants – simply lease a space, obtain a license, and you can sell food
- Catering – simply offer food and deliver
- Movie rental – simply buy the movies, pay the licensing fee, and offer the movies for rental (although if you want to be like **Netflix the entry barrier is high** because you have to have the facilities and systems to mimic their movie supply chain)

economy of scale



a proportionate saving in costs gained by an increased level of production.

Example : "mergers may lead to **economies of scale**"

Supplier Power

How an organization can be both a supplier and a buyer in a supply chain?

- Example: Dell computers is both a buyer and supplier in the supply chain.
- Dell is a buyer (customer) of parts, and a supplier to its customers who buy computers

Threat of Substitute Products or Services

High when there are many alternatives to a product or service and low when there are few alternatives

- Low for pharmaceutical companies
- High for airline transportations
  - Virtual meeting and videoconferencing has decreased the need for in-person meetings


Problem
Solution

Using IS to Achieve Competitive Advantage [f]

aling
bled
by using IT

- Low-cost leadership
- Product differentiation
- Focus on market niche
- Strengthen customer and supplier intimacy



Important for **THE FIVE FORCES MODEL** explanation

Using IS to Achieve Competitive Advantage

e than competitors while enhancing quality and level of service

- **Examples: Asda, Easyjet**

Product differentiation

- **Enable new products or services, greatly change customer convenience and experience**
- **Examples: Google, Apple iPhone**



Important for **THE FIVE FORCES MODEL** explanation

Low-cost leadership firms produces its product with less raw material waste than its competitors.

Using IS to Achieve Competitive Advantage

Use information systems to enable a focused strategy on a single market niche; specialize

- Example: Hilton Hotels

Strengthen customer and supplier intimacy





- Use information systems to develop strong ties and loyalty with customers and suppliers; increase switching costs
- Example: Tesco, Amazon, Alibaba, DHL,

amazon

Important for THE FIVE FORCES MODEL explanation

Using IS to Achieve Competitive Advantage

competitive advantage



- Transformation, destruction, threat to some industries

E.g. travel agency, printed encyclopedia, newspaper

- Competitive forces still at work, but nearly more intense
- Universal standards allow new rivals, entrants to market
- New opportunities for building brands and loyal customer bases
- **Interactive Website**

Important for **THE FIVE FORCES MODEL** explanation

Sample MCQ

Q. Messie goes into a Computer Store to buy a 2TB Portable Hard Drive, only to find that they are out of all types of "Portable Hard Drive" , but have 1TB USB Flash Drive, which he buys instead. This would be an example of which of the five forces?	
A. Bargaining power of customers B. Bargaining power of suppliers	C. Threat of new entrants D. Threat of substitution

Q. Maradona is in the computer repair businesses. Maradona and Ronaldo, two recent university graduates are unemployed, but are thinking of doing computer repairs at their homes. This is an example of which of the five forces?	
A. Bargaining power of customers B. Bargaining power of suppliers	C. Threat of new entrants D. Threat of substitution

Q. In the context of Porter's five forces model, the bargaining power of customers of medicinal drugs is _____ when pharmaceutical companies patent their products.

- **Increased**
- **Decreased**

Q. According to Michael Porter, supplier power is one of the forces of five forces to determine industry attractiveness. Which of the following is needed to decide supplier power	
A. Time and cost of entry B. Number of buyers	A. Number of competitors B. Number of suppliers to choose from

Sample MCQ

Q. The intensity of each of the five forces in "Porter's five forces model" determines:

A. The bargaining power of the Supplier.
B. How long the company will be in business.
C. How high the barrier to entry will be.
D. How satisfied customer I
E. How profitable the industry is.

Q. "Amazon Prime" uses a _____ strategy to provide a specialized product or service for a narrow target market better than competitors.

A. Process efficiency
B. Low-cost leadership
C. Market niche
D. Mass customization

Q. According to Porter's five forces model, in which of the following situations would the suppliers have the highest bargaining power?

A. a single vendor providing raw materials to many department stores
B. a fashion outlet catering to a niche market
C. a bank liquidating during a fire sale
D. a large retailer buying goods from many small suppliers

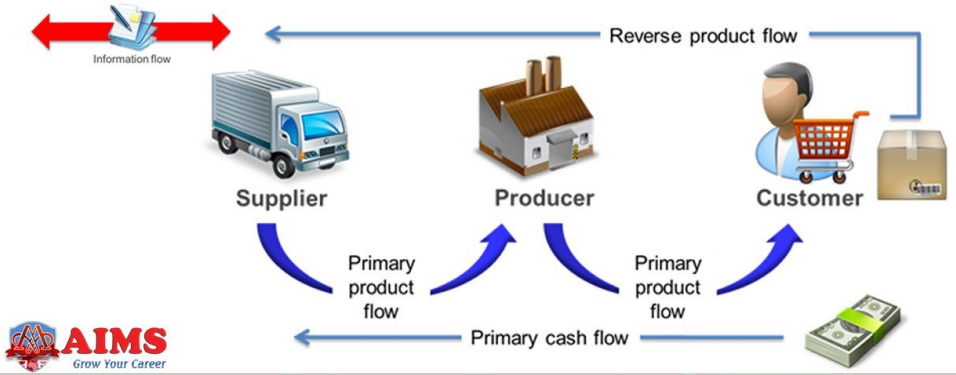
Q. According to Porter's five forces model, which of the following firms would be least affected by the threat of substitutes?

A. A used car dealership in New York
B. A convenience store that sells retail products
C. A firm that sells the only drug for a disease
D. Corner latte shops in Atlanta

WHAT IS A VALUE CHAIN?



WHAT IS SUPPLY CHAIN MANAGEMENT?



AIUB FBA FACULTY OF BUSINESS ADMINISTRATION

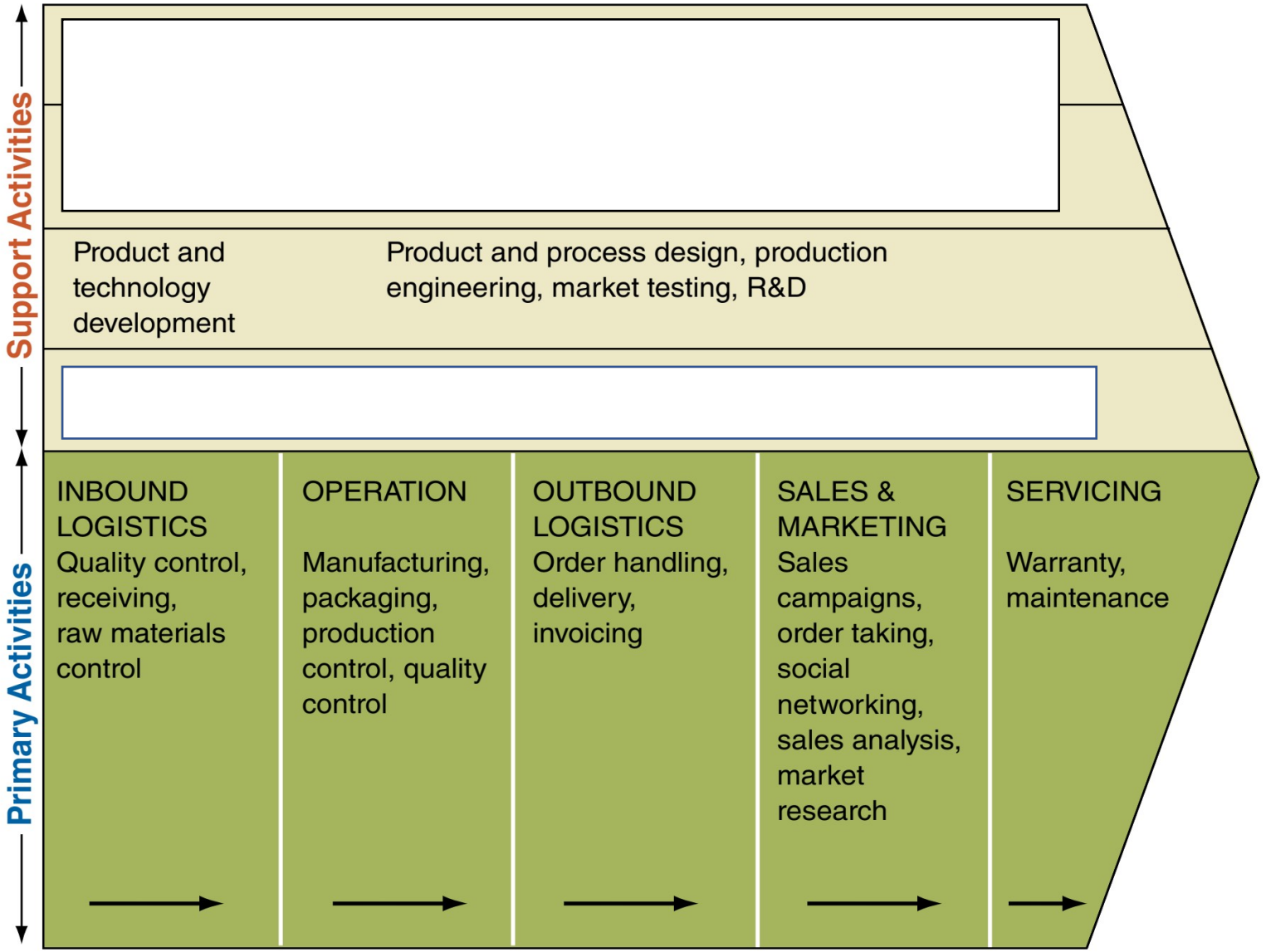
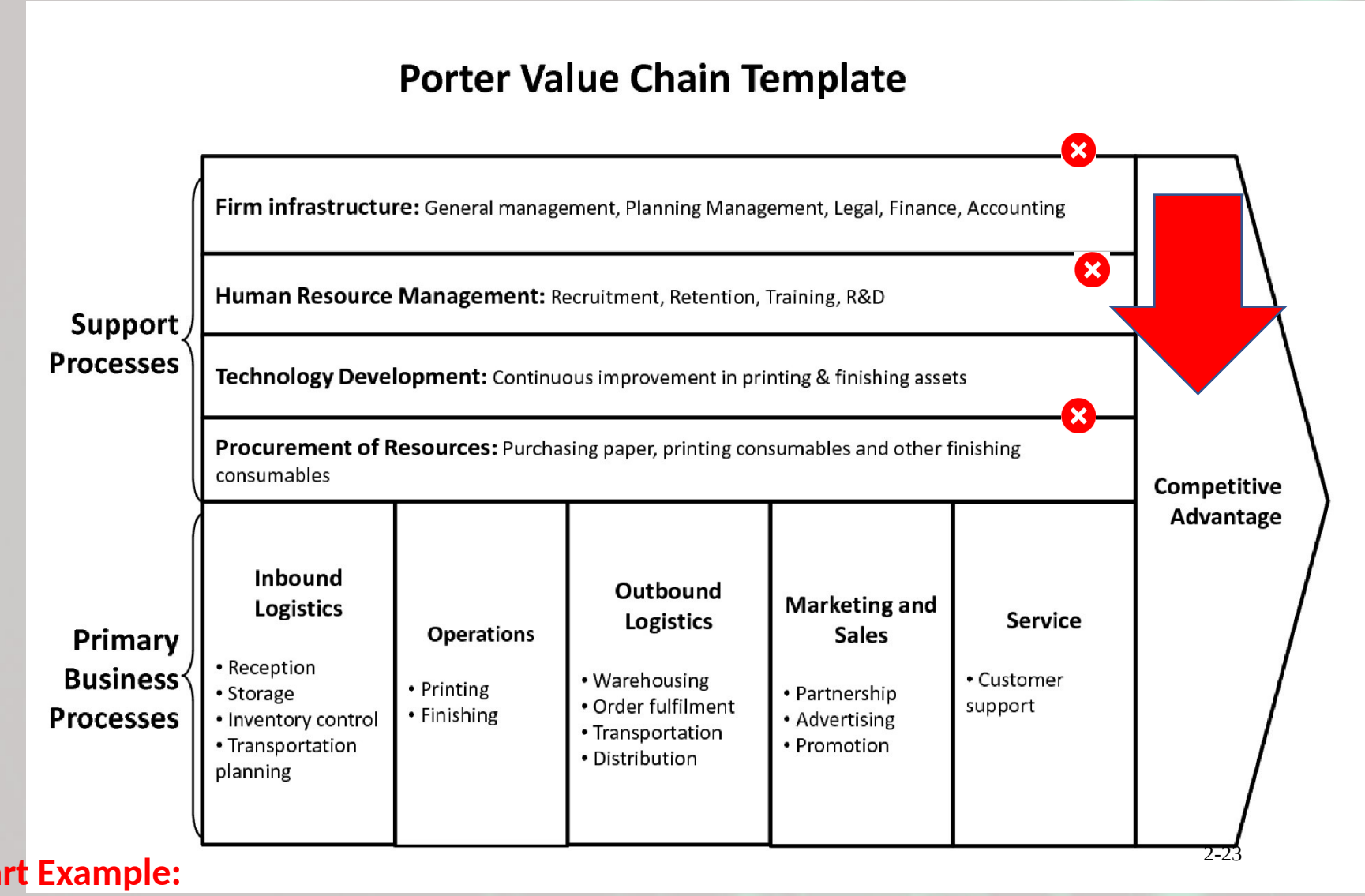


FIGURE 12.6 Porter's value chain. The arrows represent the flow of goods, services, and data in an organization.

VALUE CHAIN ANALYSIS – EXECUTING BUSINESS STRATEGIES

VALUE CHAIN ANALYSIS – EXECUTING BUSINESS STRATEGIES



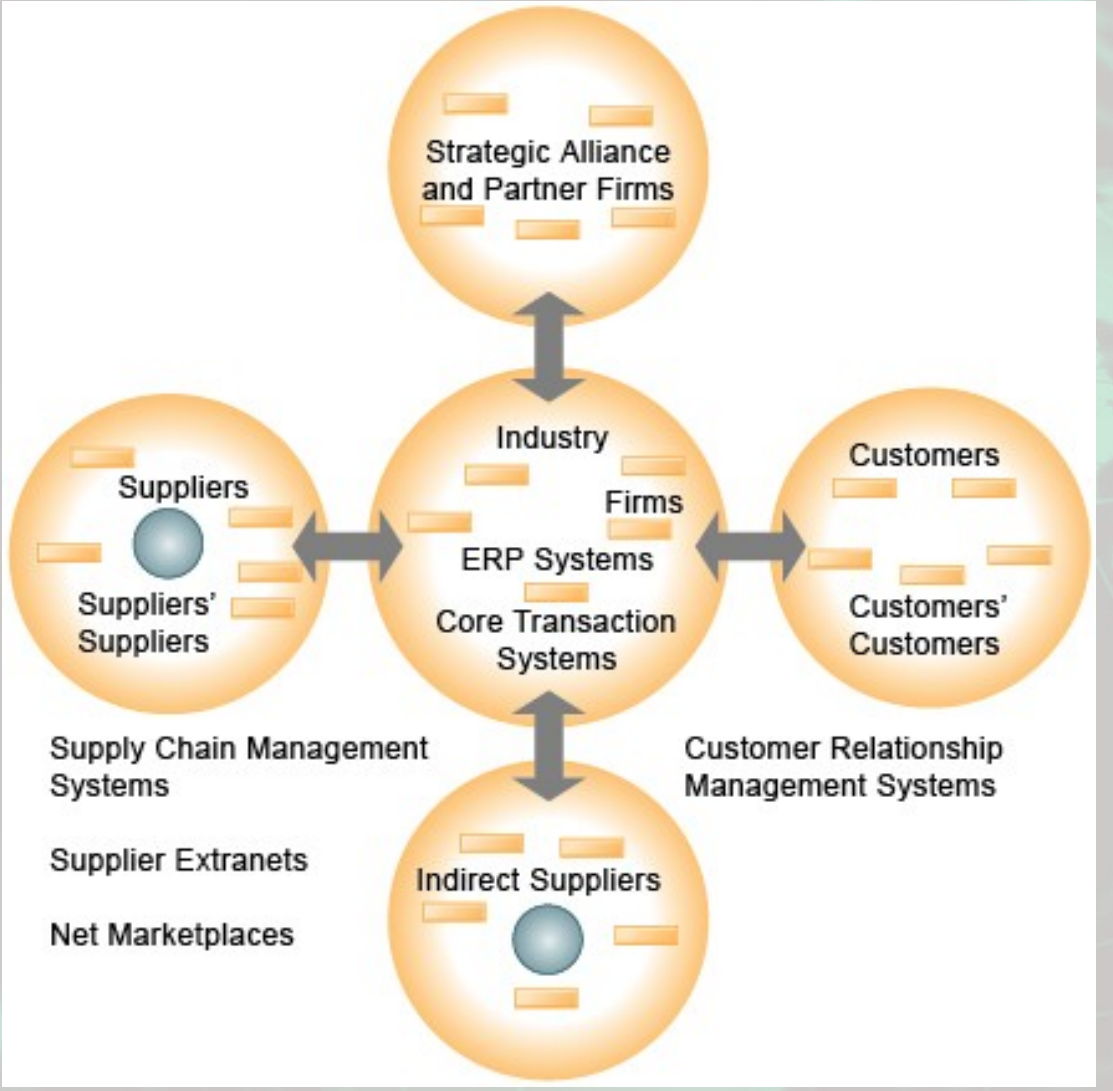
Value chain for Walmart Example:

https://www.youtube.com/watch?v=pUCu6WN-6LA

https://www.youtube.com/watch?v=QU3dRhXmC_8

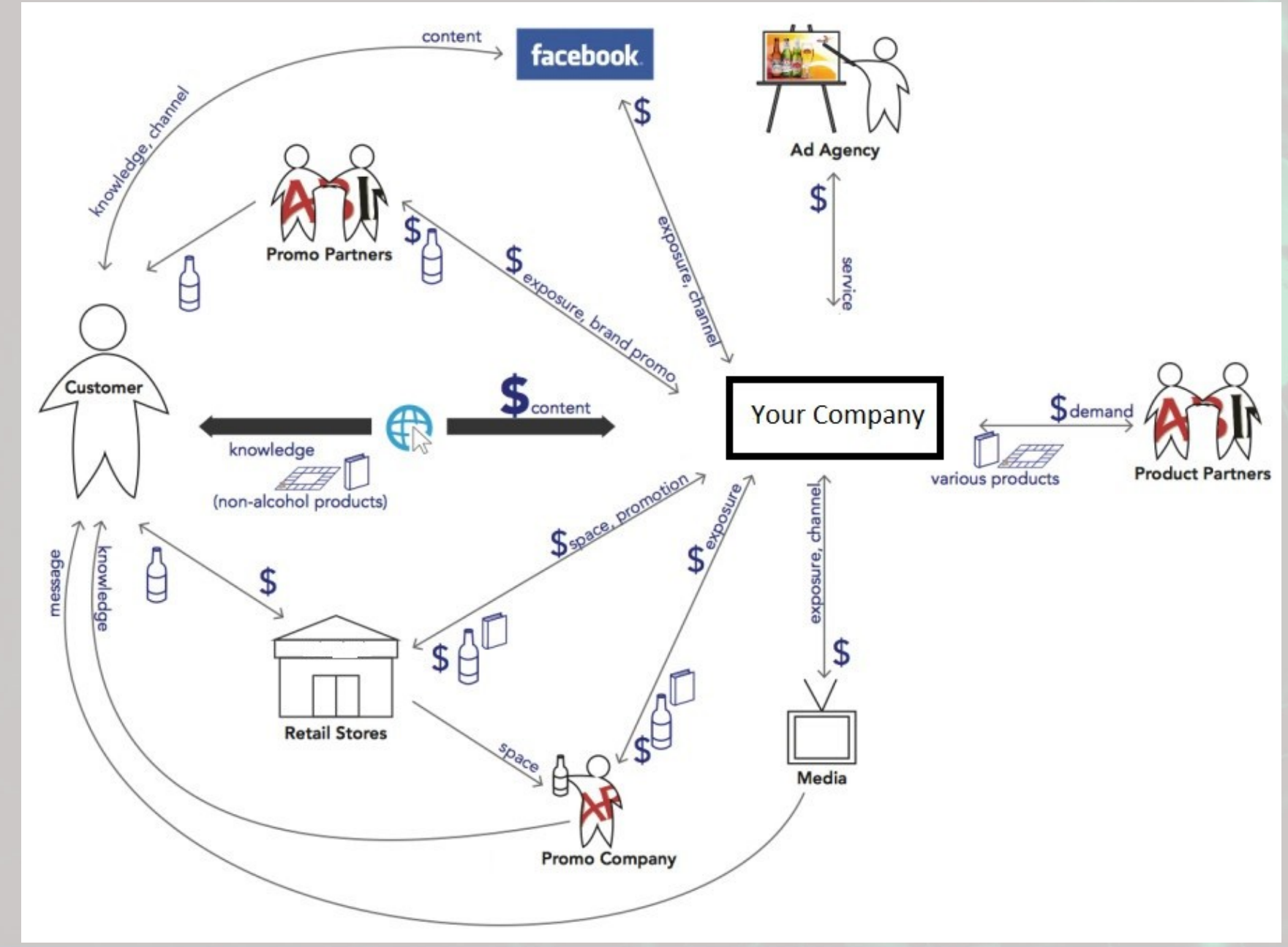
A collection of independent firms that use information technology to coordinate their value chains to produce a product or service for a market collectively is called

value web model





Value web model for beverage company



To achieve competitive advantages



Synergies



Synergies.

- If two organizations pool markets and expertise that result in lower costs and generate profits it is often referred to as creating synergies.
- Example : JP Morgan Chase's mergers with other banks that provided JP Morgan with a network of retail branches in new regions.

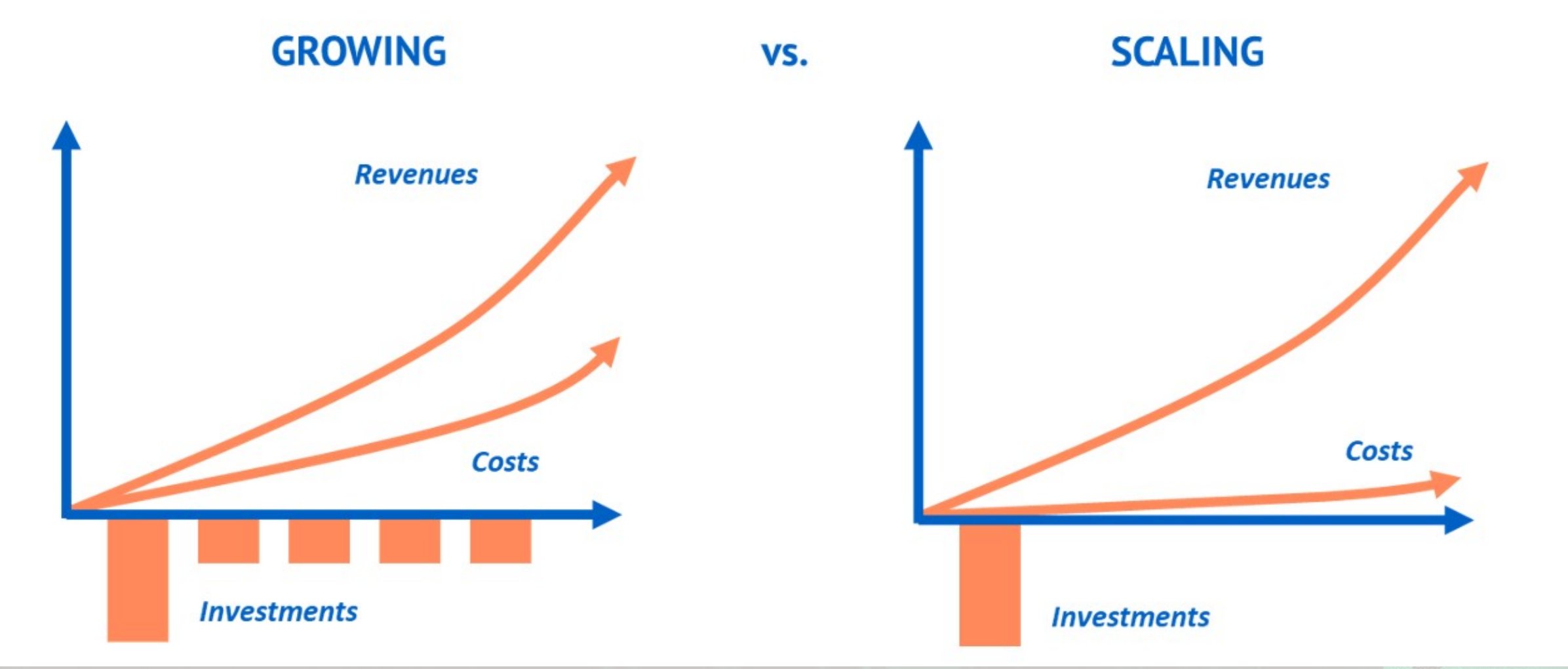
What Is Scalability?

- Scalability is the **ability of a system to grow to meet a company's business** needs. It is the ease with which the supply of a product, service or process can be expanded to meet changing levels of demand.

- In financial markets, scalability refers to financial institutions' ability to handle increased market demands; in the corporate environment, a scalable company is one that can maintain or improve profit margins while sales volume increases.

- **Source : https://www.investopedia.com/terms/s/scalability.asp**

What Is Scalability?



How do you know if a company is scalable?

- The idea of scaling a business is simple--whether your fixed costs are high or low, **if you can add significantly more customers without increasing your costs proportionally**, the business is "scalable" and becomes more and more profitable as it grows.

Scalable Business Ideas

- A truly scalable business is one that keeps low marginal costs while increasing revenue and works efficiently with less involvement from the business owner.

Which business is more Scalable ?

Option B



Option A



Here are some examples:

- **Software** — a classic and obvious sample of a scalable business. Once the product is ready, additional copies are released with much lower costs.
- **E-commerce** — any product or service provided via the internet is scalable. Information business, webinars, some kinds of consulting services can be delivered to the mass of people using only a Skype camera and microphone.
- **Replicated products** — are similar to the previous bullet. Today online stores compete favorably with shopping malls. Extension of delivery regions and product variety are just two points to consider for scaling opportunity.
- **Social media** — Facebook, Twitter, Instagram. It seems like any new platform for sharing photos and impressions is welcomed. As recently as 2015, Periscope (a worldwide video-sharing source) and The League (a dating application for the "elite") appeared.
- **Downloads** — music, books, games, applications are similar to a software's scalability. The once launched app can be downloaded thousands of times a day.
- **Line production and franchising** — most processes of line commodity production are automated. The net cost is relatively low, but always keep an eye on the quality. Never let down clients' expectations, it forms loyalty. When a person comes to McDonald's he wants almost the same Big Mac he had the previous time. Ray Kroc set a standard of the smallest specifications including weight, sauce amount and fat content in every burger.

https://www.mightycall.com/blog/7-tips-make-business-scalable/

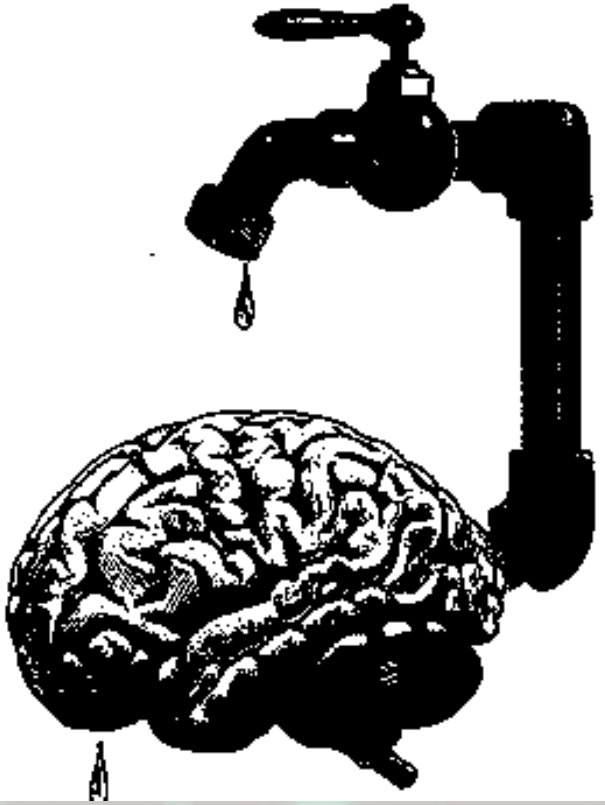
Reskilling vs Upskilling





The illiterate of the 21st century will not be those who cannot read and write, but those who cannot learn, unlearn, and relearn.

-Alvin Toffler



MIS
American International University-Bangladesh

AIUB FBA FACULTY OF BUSINESS ADMINISTRATION

Thank you

Chapter 1

ziarat@aiub.edu